

Perfect Store — Segmentation Report

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Data Quality Assessment

VERDICT: PASS

REPORT:

- * The outlet master file contains 10,000 unique outlets, providing a solid base for segmentation without any duplicate IDs that could inflate cluster sizes or distort VPO averages.
- * Core commercial metrics such as VPO, TOTAL_REVENUE, and AVG_SKU are present and within acceptable outlier thresholds (<1%), ensuring reliable performance analysis for store prioritization.
- * However, several key demographic and geographic columns, including `pepsi\_top\_city\_name` and `urban\_vs\_periphery\_tagging`, exhibit high null percentages (>60%). This will limit the granularity and richness of store segmentation based on these attributes.
- * SKU-level revenue data shows negative values for some products (e.g., LAYS LARGE 20, KURKURE MEDIUM 10), indicating returns or credits. These will be automatically clipped to zero before clustering to prevent distortion of sales metrics.
- * The dataset provides good geographic coverage across major Indian states and cohorts (e.g., Uttar Pradesh, West Bengal, North India, East India), ensuring the Perfect Store framework can be applied broadly.
- * The universe is heavily weighted towards General Trade (Retail) outlets, with smaller but present representation from Away from Home (AfH) and Wholesale channels, allowing for differentiated execution standards.

Segmentation Overview

The analysis identified **6 distinct outlet segments** across **10,000 retail outlets**, representing a combined monthly VPO of **■35,882,659**.

Segment	Label	Outlets	% Total	Avg VPO (■)	Avg SKUs
0	Urban Mid-Tier GT Impulse & Refreshmen	1,536	15.4%	■6,233	18.5
1	Rural Periphery Entry-Tier Kirana	3,037	30.4%	■2,715	9.2
2	Urban Value-Driven GT Kirana & Kiosk	5,088	50.9%	■2,617	12.2
3	High-Footfall Urban GT Office Corridor	15	0.1%	■2,945	13.5
4	Urban Modern Trade Premium Stock-up	282	2.8%	■5,650	17.6
5	High-Value GT Urban Flagship Outlets	42	0.4%	■74,113	26.3

Store Prioritization — A/B/C/D & Upside Tagging

Tier	Description	Outlets	% Total	Avg Actual VPO	Avg Potential VPO	Avg Gap
A+	Top 20% by VPO — BELOW 75th-pct potential (highest intervention focus)	624	6.4%	■6,325	■7,917	■1,592
A	Top 20% by VPO — performing at potential	1,356	13.6%	■12,793	■5,509	■-7,284
B+	Next 20% by VPO — BELOW 75th-pct potential	1,464	14.6%	■3,384	■5,173	■1,789
B	Next 20% by VPO — performing at potential	536	5.4%	■3,491	■2,437	■-1,055
C+	Next 30% by VPO — BELOW 75th-pct potential (emerging opportunities)	1,567	25.7%	■1,814	■3,403	■1,589
C	Next 30% by VPO — performing at potential	433	4.3%	■1,920	■1,375	■-545
D+	Bottom 30% by VPO — BELOW 75th-pct potential (underserved catchment)	2,620	28.2%	■710	■2,026	■1,316
D	Bottom 30% by VPO — performing at potential	180	1.8%	■804	■502	■-302

Strategic Prioritization Narrative

Perfect Store Prioritization: Unlocking Growth Across the Indian Retail Landscape

To the Perfect Store Leadership Team,

This analysis provides a critical lens on our 10,000 retail outlets, segmenting them not just by current performance but by their inherent potential. By leveraging a 75th-percentile quantile regression model, we've identified significant untapped revenue opportunities, allowing us to deploy our Go-To-Market (GTM) resources with surgical precision.

What Drives Potential: The Environmental Imperative

Our model clearly reveals that an outlet's VPO potential in the Indian FMCG context is overwhelmingly driven by its **catchment environment**. The top drivers—neighbourhood demographics (per-capita income, SEC household counts A-E), store size, and crucially, **proximity to commercial hubs** (offices, malls, transport, schools)—underscore a fundamental truth: **demand is largely external to the store itself.**

This insight has profound implications for territory planning. It means that even a modest kirana store, if situated in a high-density, affluent neighbourhood or near a major footfall generator, possesses significantly higher inherent potential than a larger store in a less dynamic location. Our GTM teams must recognize that territory potential isn't just about the number of outlets, but the quality of their surrounding ecosystem. This allows us to proactively identify and invest in areas with strong underlying demand, ensuring our distribution and execution strategies are aligned with where the shoppers are, and where they have the capacity to spend.

A+ and B+ Stores: Maximizing Immediate Returns

The A+ (6.4% of outlets) and B+ (14.6% of outlets) tiers represent our most immediate and high-ROI opportunities. These are outlets already performing in the top 40% by VPO, yet our model indicates they are significantly underperforming their environmental potential. An A+ store, for instance, generates an average VPO of ■6,325 but could achieve ■7,917, leaving a ■1,592 gap. Similarly, B+ stores could generate an additional ■1,789 on average.

This scenario, where a high-revenue store is below its neighbourhood potential, signals **execution deficiencies rather than a lack of demand**. These outlets are already attracting valuable shoppers; the challenge lies in maximizing basket size, conversion, and premiumization. Interventions here are about optimizing an existing, high-value shopper base. This could mean:

A+: Execution Upgrade. Focus on perfect planogram compliance, strategic chiller placement and optimal stock levels for high-margin SKUs (e.g., premium beverages, larger snack packs), and implementing secondary displays for impulse purchases and new product development (NPD). The goal is to capture every possible rupee from an already engaged shopper.

B+: Distribution Fill & Visibility. Aggressively push for 100% MSL compliance, ensuring our hero SKUs are always available. Implement impactful secondary displays for key brands and categories, and provide targeted promotional support to drive trial and frequency. These stores need to convert existing footfall into higher sales by ensuring product availability and visibility.

C+ and D+ Stores: Building Foundational Growth

The C+ (25.7% of outlets) and D+ (28.2% of outlets) tiers represent a different kind of opportunity. These are mid-to-low revenue stores (actual VPO of ₹1,814 and ₹710 respectively) that also show substantial untapped potential (₹1,589 and ₹1,316 gaps). The positive opportunity gap indicates these are **not structural low performers** due to lack of demand. Instead, they are likely located in decent catchments that are currently **underserved** by our brands or by the store's current execution.

Our approach to C+ and D+ stores must differ from A+/B+. While A+/B+ are about optimization, C+/D+ are about **building foundational business** and unlocking latent demand.

C+: Strategic Investment & Foundational Presence. These stores warrant strategic investment. Prioritize cooler seeding where feasible to enhance visibility and drive impulse purchases. Ensure core MSL compliance is rigorously enforced, and deploy basic, impactful Point-of-Sale Material (POSM). Explore the consistent availability of entry-price-point packs to drive initial penetration and trial, building a stronger base for future growth.

D+: Trial Activation & Basic Availability. These are often smaller, nascent outlets in developing areas. The focus here is on securing basic distribution for our most accessible, entry-price-point SKUs. Simple awareness drives and minimal merchandising efforts are crucial to establish initial brand presence and drive trial. This is about unlocking new, albeit smaller, revenue streams and building a pipeline for future growth.

Recommended Field Action Matrix

This tiered approach provides a clear roadmap for our field sales teams, ensuring every visit is purposeful and aligned with an outlet's true potential:

A+ (High-Revenue, High-Potential): Execution Upgrade. Optimize planogram for premium/new SKUs, ensure optimal chiller placement and stock, implement secondary displays for impulse, drive range extension. Focus on maximizing basket size and conversion.

B+ (Good-Revenue, High-Potential): Distribution Fill & Visibility. Aggressively push for MSL compliance, ensure hero SKUs are always available, implement secondary displays for key brands, targeted promotional support to drive frequency.

* **C+ (Mid-Revenue, Mid-Potential):** **Strategic Investment & Foundational Presence.** Prioritize cooler seeding where feasible, ensure core MSL compliance, basic POSM deployment, explore entry-pack availability to drive initial penetration.

* **D+ (Low-Revenue, Mid-Potential):** **Trial Activation & Basic Availability.** Focus on securing basic distribution for entry-price-point SKUs, simple awareness drives, minimal merchandising to establish presence.

* **A/B/C/D (Non-Plus, At or Above Potential):** **Protect & Maintain.** For A/B tiers, focus on protecting share, maintaining trade terms, loyalty programs, and first-mover advantage on NPD. For C/D tiers, prioritize efficiency, reduce cost-to-serve, and leverage digital reorder systems to maintain baseline service without over-investing.

By adopting this data-led, commercially grounded Perfect Store framework, we empower our GTM teams to not only protect our existing strongholds but, more importantly, to systematically unlock the significant untapped potential across our vast retail network, driving sustainable NSV and margin growth.

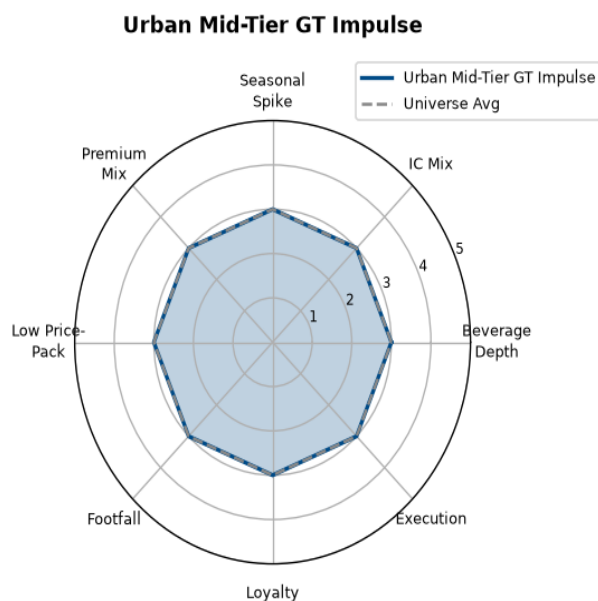
Segment Deep Dives

Segment 0: Urban Mid-Tier GT Impulse & Refreshment Hub

These are established, small urban GT outlets like kiranas, bakeries, and sweet shops, characterized by high cooler penetration and moderate VPO. They cater to a mixed-income, urban shopper base, often near schools, seeking immediate consumption and refreshment. Commercial significance lies in capturing impulse purchases in high-footfall areas.

Outlets: 1,536 (15.4% of total) | **Avg VPO:** ■6,233/month | **Avg Total Rev:** ■70,393 | **Avg SKUs:** 18.5 | **Avg Active Months:** 10.9

Recommended Action: Optimize chiller assortment with high-margin impulse SKUs and ensure prominent POSM for chilled beverages, focusing on top-selling brands.



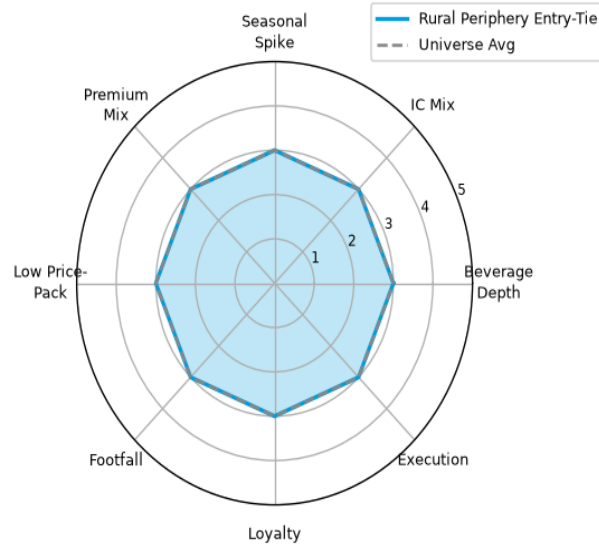
Segment 1: Rural Periphery Entry-Tier Kirana

This cluster comprises small, rural/periphery kiranas with very low VPO and limited SKU range, primarily serving low-income households. These outlets are often new or have low transaction frequency, with no premium product sales. Commercial success hinges on driving basic availability and affordability.

Outlets: 3,037 (30.4% of total) | **Avg VPO:** ■2,715/month | **Avg Total Rev:** ■12,512 | **Avg SKUs:** 9.2 | **Avg Active Months:** 3.9

Recommended Action: Implement a focused Rs. 5/10 price-pack MSL to drive penetration and trial, supported by basic visibility materials like posters and shelf strips.

Rural Periphery Entry-Tie



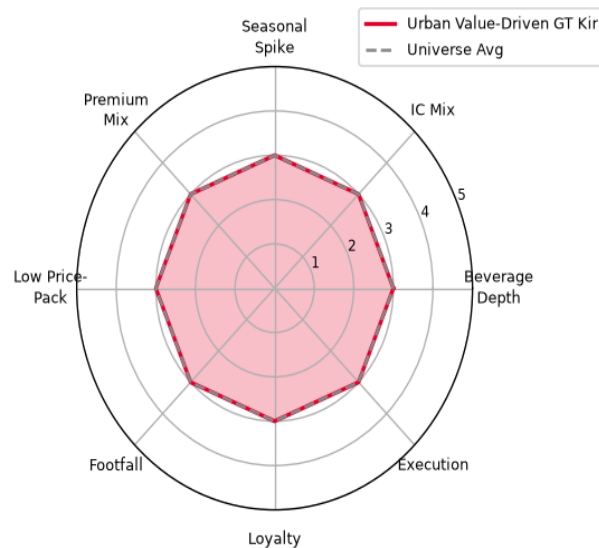
Segment 2: Urban Value-Driven GT Kirana & Kiosk

This is the largest cluster, representing established small urban GT outlets like kiranas and paan kiosks with low VPO and limited premium sales. Serving a broad urban demographic with moderate footfall, these stores are critical for widespread availability of core value-for-money SKUs. Growth potential lies in improving execution standards and cooler penetration.

Outlets: 5,088 (50.9% of total) | **Avg VPO:** ₹2,617/month | **Avg Total Rev:** ₹27,409 | **Avg SKUs:** 12.2 | **Avg Active Months:** 10.0

Recommended Action: Drive cooler penetration and activation in high-footfall outlets, focusing on core beverage SKUs and ensuring competitive pricing for Rs. 10/20 packs.

Urban Value-Driven GT Kir



Segment 3: High-Footfall Urban GT Office Corridor

These are small, urban GT outlets with exceptionally high footfall, often located near offices and malls, indicating a strong 'on-the-go' shopper mission. Despite moderate VPO, the high concentration of SEC A/B households suggests potential for premiumization and higher average transaction values. This cluster is crucial for capturing quick, convenient purchases.

Outlets: 15 (0.1% of total) | **Avg VPO:** ■2,945/month | **Avg Total Rev:** ■32,749 | **Avg SKUs:** 13.5 | **Avg Active Months:** 10.9

Recommended Action: Introduce premium single-serve and combo packs (e.g., beverage + snack) at the Rs. 30-40 price point, leveraging high footfall and office proximity for trade-up.



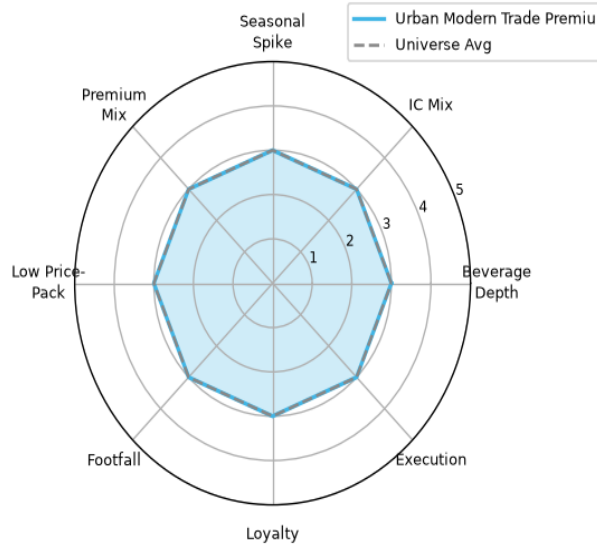
Segment 4: Urban Modern Trade Premium Stock-up

This cluster represents larger, established urban Modern Trade grocery stores with high SKU counts, 100% cooler availability, and significant premium category sales. Serving higher-income households, these outlets are key for planned purchases and stock-up missions. Commercial focus is on range, planogram compliance, and secondary displays for premium and multi-serve formats.

Outlets: 282 (2.8% of total) | **Avg VPO:** ■5,650/month | **Avg Total Rev:** ■63,141 | **Avg SKUs:** 17.6 | **Avg Active Months:** 10.5

Recommended Action: Ensure full range availability of multi-serve and premium SKUs, optimize planogram compliance, and secure secondary display space for promotional activities.

Urban Modern Trade Premium



Segment 5: High-Value GT Urban Flagship Outlets

These are high-performing, established urban GT outlets with significantly higher VPO and SKU counts, often selling premium products. They serve as flagship stores within the GT channel, catering to a diverse urban shopper base for both immediate and planned consumption. These outlets are critical for brand visibility, volume, and driving premiumization within GT.

Outlets: 42 (0.4% of total) | **Avg VPO:** ■74,113/month | **Avg Total Rev:** ■763,035 | **Avg SKUs:** 26.3 | **Avg Active Months:** 10.9

Recommended Action: Implement a comprehensive Picture of Success (PoS) program, including enhanced merchandising, premium secondary displays, and full MSL compliance for both core and premium SKUs.

High-Value GT Urban Flags

